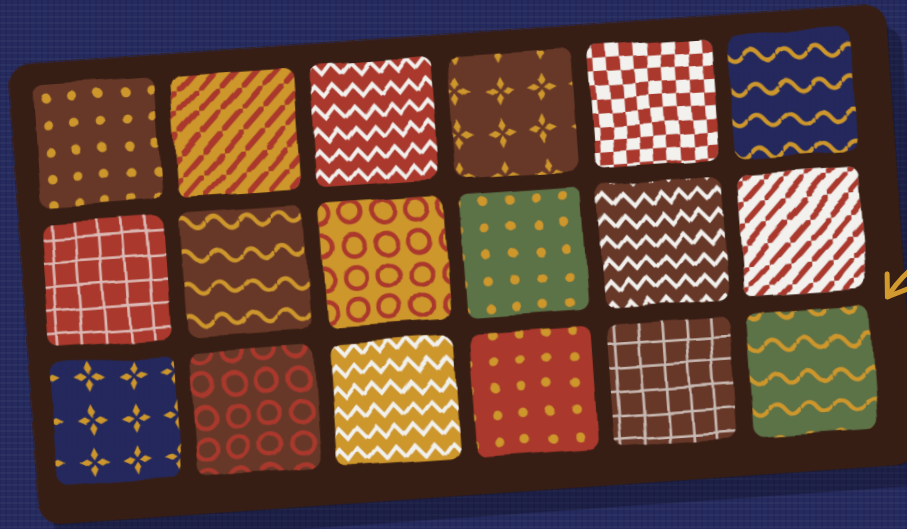




*every square a
different choice,
one bar per
person*

Cadbury Canvas

Create from anywhere, for the people you love.

Taking XYZ's personalized chocolate machine to Cadbury: a marketing strategy that opens online, then puts machines where the demand already is.

CynLr problem statement: Engineering Marketing

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Executive summary

XYZ has built a machine that makes chocolate to each buyer's taste on the spot. The aim is to make Cadbury, and eventually every chocolate manufacturer, an advocate for it.

Proposition: become the first chocolate brand in India where consumers create the product at scale, and gain a permanent engine that tells you what people want to taste before you commit a production run.

Nothing in the existing system changes. The Dairy Milk lines keep running at the same speed, volume and cost. The plan adds what the current system cannot do: making one bar for one person, and letting consumers decide how big it becomes.

The product: Cadbury Canvas, a premium sub-brand, delivered through an app anyone can design in, then a deliberately small network of Cadbury counters and qualified partners, and eventually a flexible production line.

The opening move is online, not a machine

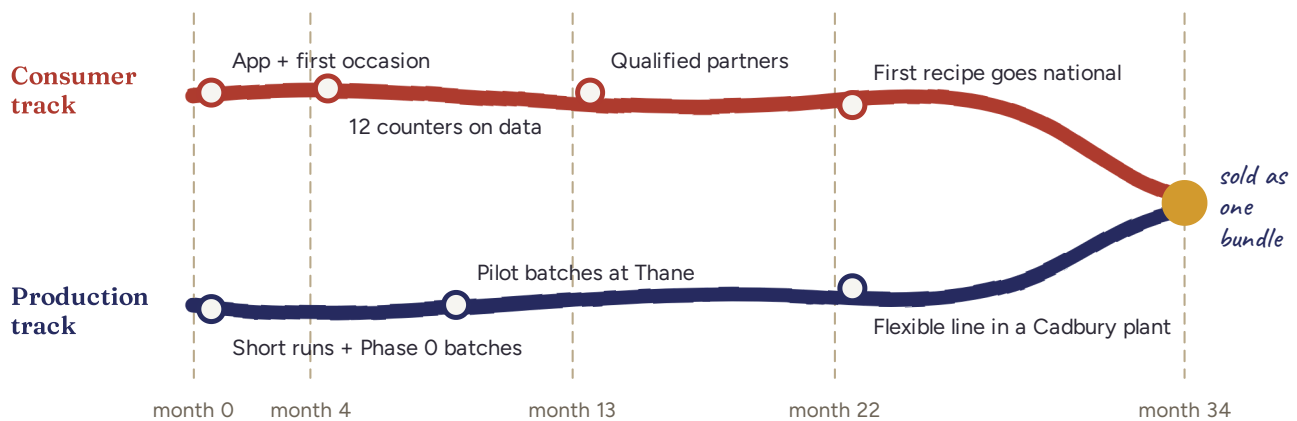
Create from anywhere, for the people you love. Anyone can design a bar in the app, name it, write the message, and have it reach the person it was made for. Occasion by occasion, from Mother's Day to Rakhi to Diwali, the idea returns with a new drop.

Asking Cadbury to buy twelve machines before anyone has shown that Indians will pay to create chocolate is the largest, slowest and most refusable ask in the plan. Opening online inverts it: the first ask is a campaign budget, demand data arrives before any machine is bought, and counters are then placed where designs are already coming from.

This is also what separates Canvas from Madbury. Madbury was a contest: it ran for a window, drew millions of entries, made two bars and stopped. Canvas asks people to make a bar for their mother, not a flavour for Cadbury. One is a contest, the other is a gift, and only one ends with a real bar in someone's hands.

The plan runs on two tracks, in parallel:

*presented as a
campaign, built as
a product*



The two tracks run side by side and meet as one offer to Cadbury.

- ◆ **Consumer track.** Phase 0 launches the app and the first occasion campaign, with bars made in small batches and demo units at events. Phase 1 places twelve Cadbury-owned counters in Mumbai, Delhi NCR and Bengaluru, funded as marketing and sited on Phase 0 data. Phase 2 opens qualified partners: premium cafés, hotels, mithai chains, weddings, corporate gifting.
- ◆ **Production track.** A separate conversation with operations and R&D, from day one, about the work mass lines handle worst: seasonal drops, festive runs, limited editions, regional variants, gifting at volume, and pilot batches at Mondelez's Thane centre. Agility, output quality and changeover speed are where XYZ's machine wins. Canvas and flexible production are sold as one bundle.

Why it matters to Cadbury: it has chased premium through product launches for over a decade, and each new SKU competes with the rest of the portfolio. A make-to-order format does not commit every combination to permanent stock. Meanwhile Coca-Cola's Freestyle draws on roughly 11 million servings a day and turns that data into a market-ready drink in as little as 90 days, against 18 months traditionally.

Cadbury has already shown the demand. Madbury drew more than 800,000 entries in its first edition and about 5 million by its fourth, yet only two bars were made each year. Canvas turns that contest into a permanent experience where everyone eats, or gives, the bar they design.

Why it is not a branding risk: a separate sub-brand, Cadbury-approved recipes only, capped placements, controls that open in stages as quality is proven, and a first phase that risks a campaign budget rather than a production decision.



Understanding the problem

this is the pitch in one sentence

XYZ's machine adjusts sugar, texture, softness, chocolate level and nuts on the fly. XYZ wants to sell it to Cadbury for the Dairy Milk production line. Cadbury is a legacy market leader that prefers proven machinery it can use to automate production immediately.

The instinct is to pitch the machine as a better production line. That framing is set aside as the *opening* move: on a mass line the machine is judged on throughput and cost per unit against a system Cadbury has optimized for decades. That is where its differentiation is weakest and where a cautious buyer has every reason to say no.

The machine's real strength is something the existing line cannot do at all: **make one bar for one person, in front of that person**. That capability has no competitor inside Cadbury's plant, so it cannot be compared unfavourably to anything.

Why the first step is a campaign, not a machine

Buying twelve machines and placing them before any consumer evidence is the largest, slowest and most refusable ask in the whole plan, and not just because of the cost. Every barrier Cadbury can raise gets raised here, all at once:

- ◆ **Financial:** ₹2.4 crore of capital expenditure before a single rupee of revenue, requiring finance sign-off and a formal capex proposal
- ◆ **Procurement:** a vendor contract, legal review, technical due diligence and supplier qualification
- ◆ **Operations:** plant access, space allocation, power and cleaning infrastructure, site surveys across three cities
- ◆ **Quality and regulatory:** food safety validation, FSSAI licensing per site, allergen protocols and Legal Metrology calibration before any machine is switched on
- ◆ **Organisational:** sign-off from marketing, R&D, operations, quality and finance simultaneously, at a company that moves by committee
- ◆ **Risk:** all of this carried on a single untested belief — that Indians will pay a premium to create their own chocolate — with no market evidence to point to

Opening online removes every one of these. An online launch needs an app, a fulfilment route for small batches and a campaign budget, amounts a marketing leader can approve alone, in a single meeting, without a capex committee or a plant conversation. The first yes is the smallest yes in the sequence.

It answers exactly what the machines were going to answer anyway (do people design, do they pay, do they come back?) but answers it before anything is bought, and it answers it with data Cadbury itself generated on its own brand. By the time the machine order is discussed, the financial, operational and quality conversations are already happening around a proven programme, not a concept.

The online launch is not a substitute for the machine. It is what makes the machine an easy decision rather than a leap of faith.

Production as a parallel track

Mass lines are built for long runs of identical product. Every changeover costs time and yield, which makes short runs expensive. That creates openings for XYZ that have nothing to do with replacing Dairy Milk volume:

- ◆ Limited editions, seasonal drops and festive runs
- ◆ Regional variants for specific markets
- ◆ Personalized corporate and wedding gifting at volume
- ◆ Pilot-scale batches at Mondelez's Thane technical centre, and test-market quantities
- ◆ Small-batch fulfilment for the online campaign, which puts the track to work from month one

These are jobs Cadbury's lines handle worst, and they are worth money whether or not Canvas succeeds with consumers.

Core message: Cadbury is not asked to change anything that works; the plan adds what the current system cannot do.

Case studies

These launches include ones that worked and ones that did not, each chosen for a specific lesson.

What worked

Cadbury's own proof, not someone else's

Case	What happened	Lesson for Canvas
Cadbury Madbury (India, 2019 on)	Consumers invented Dairy Milk flavours online; winners such as Hint O'Mint and Paanjeer launched as bars. Entries grew from 800,000 to about 5 million.	Indians already design Dairy Milk online in millions. Phase 0 keeps that behaviour and changes the ending: everyone eats the bar they design.
OREOiD (Mondelez, 2020)	An online platform to choose Oreo crème colour, dips and sprinkles, and print a photo or text; later offered to foodservice.	Mondelez has already accepted online personalization in a flagship brand, and it landed in gifting and business orders, the occasions Phase 0 opens on.
Share a Coke (Coca-Cola, from 2011)	First names replaced the logo on bottles, and the idea spread worldwide.	A legacy leader personalized the pack without touching the recipe. Canvas goes into the contents, which is why it is a separate sub-brand.

Case	What happened	Lesson for Canvas
Nutella Unica (Ferrero, 2017)	An algorithm generated seven million different jar designs; they sold out in about a month.	Uniqueness sells even at mass scale, and the keepsake is part of the product.
Coca-Cola Freestyle	Began with about 72 machines in 43 locations before scaling past 50,000, and turns pour data into new drinks in as little as 90 days.	Start small and controlled. The data engine is the long-term value.
KitKat Japan	Hundreds of regional and seasonal flavours sold as limited runs and souvenirs.	Limited, local editions can be a permanent business. This is the production track's case.
Hershey's Chocolate World	Create-your-own has run for years; its price rose from \$14.95 in 2010 to \$29.95 today.	People pay to make their own bar and keep the tin.

What did not work

Case	What happened	Lesson for Canvas
Keurig Kold (2015–16)	A \$370 home soda machine that was slow and tasted worse than the cans. Discontinued in under a year, with full refunds.	A machine-made version must taste at least as good as the original, so taste validation at Thane comes before anything is sold.
Juicero (2016–17)	Launched at \$699, cut to \$399 after reporters showed its packs could be squeezed by hand. Shut down after raising \$120 million.	The machine must visibly do something people cannot, so demo units travel with the Phase 0 campaign.
KitKat Chocolatory	Premium boutiques drew long waits at busy times; most of the Japanese stores have since closed.	Premium must not mean friction.
Freestyle as a premium idea	Self-serve beside soda fountains, so it reads as fun rather than premium.	Scarcity and staging create premium, not technology.
Hershey, as a habit	Even fans describe it as a once-in-a-while trip.	Repeat has to be engineered, which is why the occasion calendar carries it.
Lay's "Do Us a Flavor"	Many winning flavours were later discontinued.	One winning recipe is a novelty. The value is the engine that finds the next one.



What this transforms for Dairy Milk

What changes for Dairy Milk itself. Dairy Milk's recipe and lines stay as they are, but the brand gains three things. A pipeline of proven flavours: when a Canvas recipe wins, it can launch as a Dairy Milk limited edition with demand already shown. Cheaper festive, regional and seasonal variants, because short runs move to XYZ modules. And personalized gifting that changes what is inside the wrapper, not just the wrapper. Canvas is where the experiment happens; Dairy Milk is where the winners scale.

The data arrives before the capital does. Because the plan opens online, Cadbury reads taste by city, season and occasion within weeks of launch and months before a machine is installed. Every design is a signal, including the ones never ordered.

A premium tier that does not add another SKU. Cadbury has pursued premium through launches for over a decade: Bournville in 2009, Silk in 2010, then Dark Milk, Studio Creations in 2024 at around ₹494 for 130g, and two new Bournville variants in January 2026. Each is a fixed SKU that must be forecast, produced and stocked. A make-to-order format does not commit every combination to permanent stock.

Growth in gifting, which is where the money is

When Cadbury launched Glow in India in 2014, it did so because chocolate gifting was only 5–7% of the Indian market against 15–35% elsewhere. That gap is the commercial centre of this plan, not a side benefit.

It also answers the hardest question in the strategy: why would anyone pay a premium for chocolate? People do not. They pay it for what the chocolate is doing, saying something to a person on a date that matters. A bar designed for one named person, with their message on the box, is not competing with a ₹40 Dairy Milk on the shelf. It is competing with the gift that would otherwise have been bought.

That is why the campaign leads with the recipient rather than the designer, and why gifting is in Phase 0 rather than Phase 2. It is also where volume lives: one corporate, wedding or festive order carries hundreds of bars, each made to a different person's choice.

A first-mover position. No major brand offers make-your-own chocolate at scale in India today.



The product: Cadbury Canvas

A premium sub-brand where consumers create their own Cadbury chocolate. *Cadbury Canvas: create from anywhere, for the people you love.* (Name subject to trademark clearance.)

It starts on a phone, not at a counter

The order itself is the fun: choose an occasion and a mood, swipe through bases, drop in textures, name the bar, write the message. It feels like a game with a real object at the end.

A daughter in Pune designs a soft milk bar with salted caramel for her mother in Nagpur. It arrives on the right morning in a keepsake box with her message printed on it, and she sends her brother a link so he can design his own. Nobody involved needed a machine nearby. That is what makes reach independent of machine count.

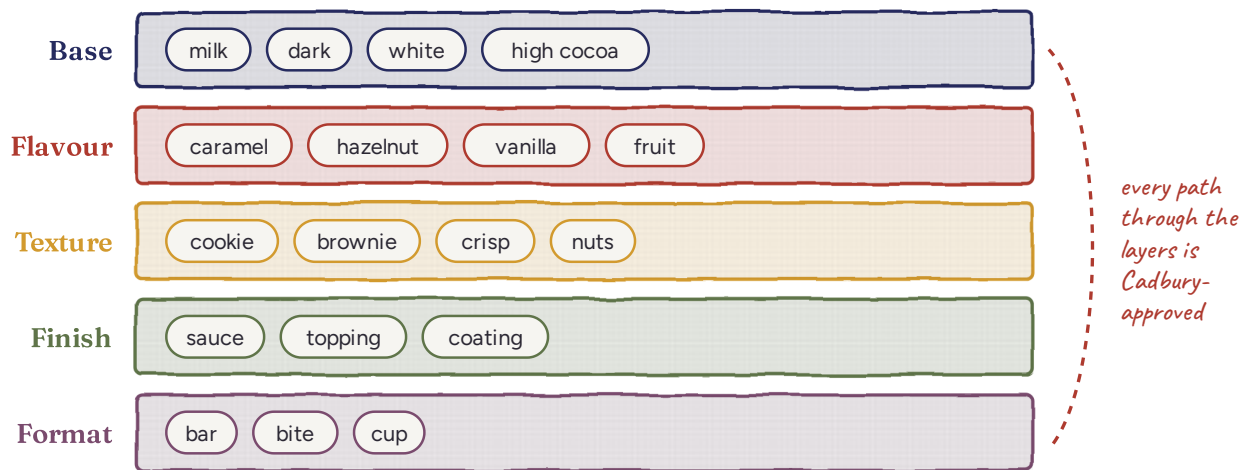
Then the counter, where you watch it happen

Counters add the one thing the app cannot: watching the chocolate pour and set. A traveller at Bengaluru airport makes a bar for her mother in forty minutes; her recipe is saved, so the next one takes thirty seconds. Counters belong where people already go often: premium high streets, malls, and the burger spots, ice cream parlours and café chains that give repeat visits rather than once-a-year footfall. On aircraft, cruise ships and in hotel suites, a shelf-stable bar made to order is a premium filling conventional catering cannot match.

✦ *Chocolate stops being something you pick off a shelf and becomes something you make, remember and give.*

Proposed architecture (to be validated with XYZ engineering)

The machine works from five layers, with roughly twenty approved components across them.



Five layers, roughly twenty approved components. The consumer chooses; Cadbury sets what is possible.

The consumer never sees a blank slate. The screen opens on curated recipes Cadbury's own team has created and tasted, plus the most-ordered bars of the month. Every path through the layers is one Cadbury has already signed off, and allergen rules, portions and withheld components are set centrally.

The machine does not manufacture arbitrary food. It assembles validated components along a recipe graph that Cadbury defines.

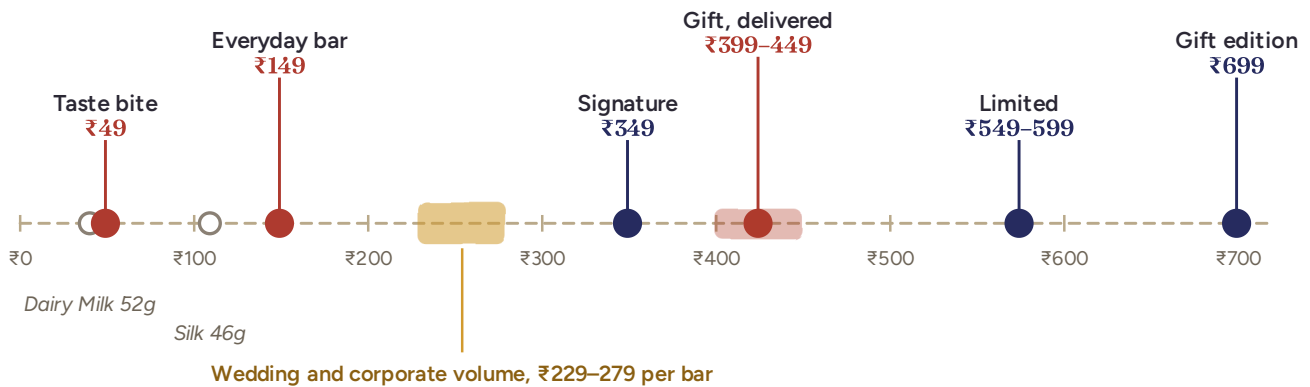
Freedom opens in stages. At launch the choice is deliberately narrow (curated recipes, a name and a message) because the first thing to prove is that the bar tastes right and arrives right. Swaps open next, then the wider component set, then seasonal additions. Cadbury holds the dial; the stages are set out in Section 7.

Bars and bites first: shelf-stable, giftable, no cold chain, and a physical object to keep or give. That is also what makes Phase 0 possible, because a bar can be posted and a dessert cannot.

Pricing

entry tiers win customers

premium tiers keep full price



The price ladder against Dairy Milk and Silk. The delivered gift bar is the Phase 0 launch product.

₹49 is about what a regular Dairy Milk costs

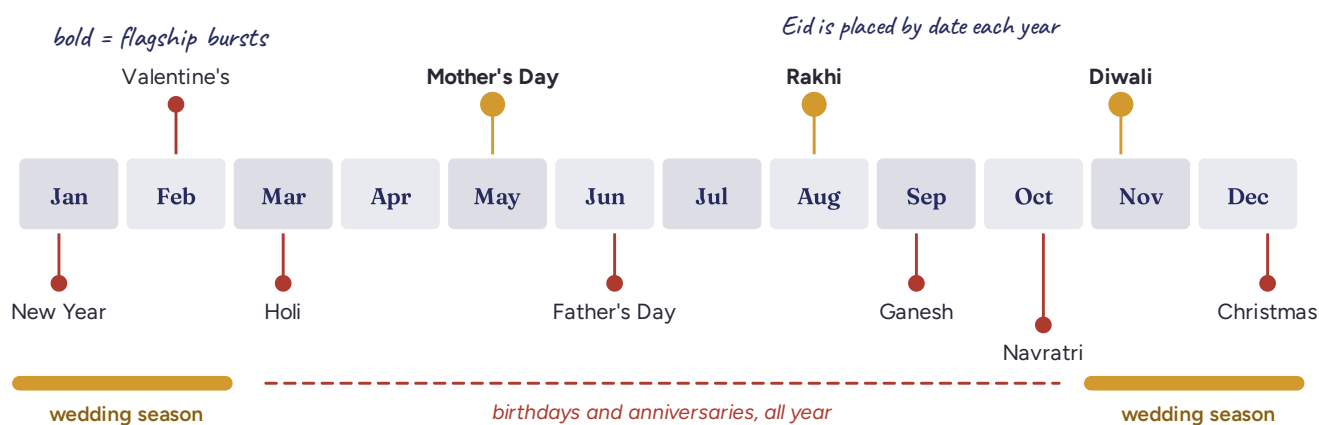
Tier	Price	Job
Taste bite (~20g)	₹49	Trial at close to the price of a regular Dairy Milk
Everyday bar (~50g, simple wrap)	₹149	Repeat buying at food spots and high streets
Signature bar (~50g, keepsake box)	₹349	The core product
Gift bar, delivered (Phase 0)	₹399-449	The launch product: bar, box, printed message, delivery on the day
Limited edition (seasonal, capped)	₹549-599	Premium signal, reason to return
Gift edition (bar, tin, personalization)	₹699	Margin; gifting occasions
Wedding and corporate volume	₹229-279 per bar	Committed quantities

Where the premium actually sits. The taste bite and everyday bar sit near Dairy Milk and Silk on purpose, to win trial and repeat, and only they carry acquisition offers. The premium lives in the signature, gift and limited tiers, where the keepsake box, message and occasion are, and those are never discounted. For context, a 52g Dairy Milk sells for about ₹40 and a 46g Silk for about ₹109; a ₹399 gift bar sits below a Ferrero Rocher box, which is the comparison that matters, because it is a gift.

Evidence: Hershey charges roughly \$30 because the takeaway is a keepsake tin, and Freestyle earns on cartridges and data rather than a premium. **Price the keepsake, not the chocolate**, and remove friction.

The campaign calendar: a reason to create, every month

The campaign is not one launch that fades. It is a standing product with an occasion burst on top, and each burst brings its own creative, package and limited component.



Every month carries an occasion, a drop and a short production run.

Mother's Day is the flagship Phase 0 burst, Rakhi the second (a bar designed by a sibling, for a sibling), and Diwali the largest volume window, when corporate orders dominate. The calendar matters to the factory too: every burst is a short run and a capped edition, exactly the work XYZ modules handle best. A thin calendar would leave the flexible line idle.

Online and offline, one system

Anyone can create from anywhere, and every occasion gives them a reason to. Once counters exist, the same offer brings people in to create in person: a component available only at counters that month, or a package collected rather than delivered. Online and offline share one calendar, one offer and one saved recipe.

- ◆ **Occasion offers.** Each occasion gets its own package and a limited component. Saved birthdays and anniversaries trigger a reminder a week before.
- ◆ **Gifting.** Send a designed bar to another city, or a link so the recipient designs their own. The link is the growth mechanic: each gift invites a new designer.
- ◆ **Regular offers.** A new component every month and a small reorder benefit, without discounting the signature bar.
- ◆ **Customer-specific offers.** Recommendations from saved recipes and past orders, only with consent.
- ◆ **Loyalty.** Registering a recipe earns a reward on the next order, and members get early access to limited drops. Rewards give access rather than discounts, so the premium holds.
- ◆ **Customer data.** Every design is a taste signal by city, season and occasion, collected with consent under India's Digital Personal Data Protection Act, used to inform Cadbury's decisions, and never sold.

Why people come back. The calendar gives a reason almost every month, recipes reorder in one tap, components rotate and limited drops expire. A reminder, a saved recipe and a limited ingredient together turn one gift into a habit.



Is this a B2B or B2C problem?

Both, permanently, and they reinforce each other.

The buyer. XYZ's customer is Cadbury, specifically its marketing leadership as champion, with R&D, operations and the Managing Director as the other decision makers, and quality, finance and sales consulted (Section 6). Cadbury's customers are then consumers, online first and then at its counters, and partners who host machines. There are three levels: XYZ sells to Cadbury; Cadbury sells to partners and consumers.

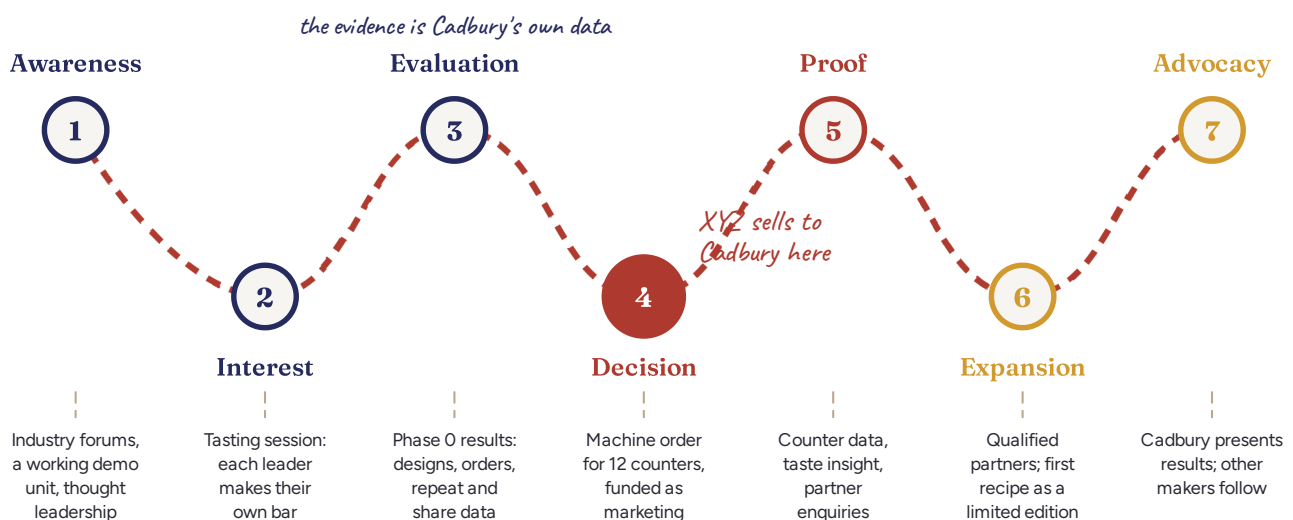
Why consumer demand has to come first. A premium café will not install unproven equipment to save on inventory. It will install it because its customers already want it and a competitor does not have it. The same logic applies one level up: Cadbury will not buy machines to prove a consumer behaviour, but it will buy them to serve one it can already see.

So the consumer layer is not a launch tactic that retires. It does three jobs permanently:

- 1 Discovery:** consumers generate combinations nobody internally would design
- 2 Word of mouth:** people share what they *created*, not what they bought
- 3 Partner pull:** every consumer placement makes the next partner conversation easier

Two pitches. The B2B pitch leads with consumer pull, differentiation and footfall, then margin and payback. The B2C pitch leads with ritual, self-expression and the creation moment. Speed is the B2B promise; slowness is the B2C promise.

The buyer's journey



The buyer's journey. Phase 0 results are the evidence at evaluation; the machine sale closes at decision.

In a normal equipment sale, evaluation is a technical review and a reference site. Here it is four months of live Indian consumer data that Cadbury generated on its own brand, at campaign cost. By the time the machine order is discussed, the market has already made the argument.



The step-by-step strategy

Phase 0

Create from anywhere

Phase 1

Counters on evidence

Phase 2

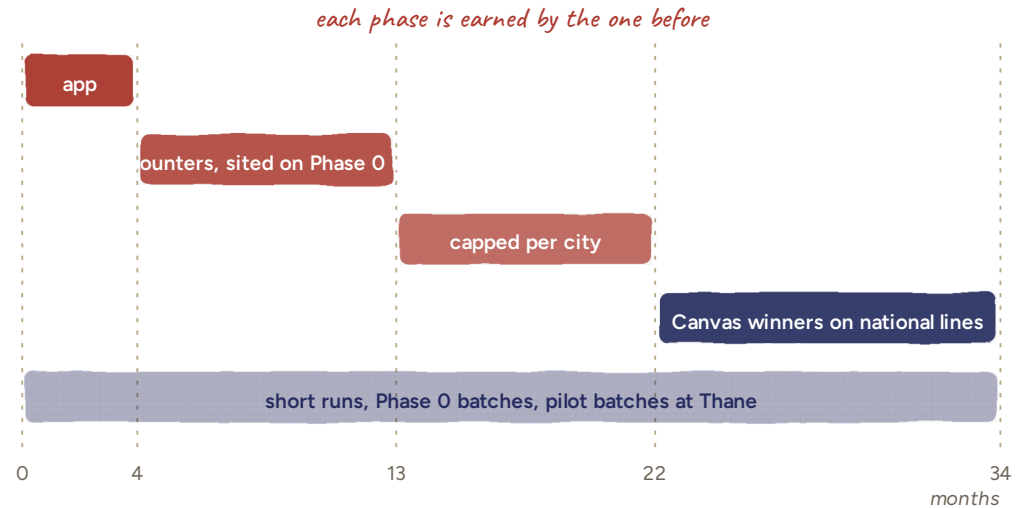
Qualified partners

Phase 3

Flexible production

Production track

Runs from day one



Thirty-four months, four phases, and a production track that runs from day one.

Phase 0. Create from anywhere (months 0 to 4)

The app launches with one line: create from anywhere, for the people you love. Anyone in India can design a bar, name it, write a message and have it delivered, or send a link so the recipient designs their own. Bars are made in small batches at Thane, a licensed contract facility or on an XYZ demo unit, with volumes capped per drop to protect quality and scarcity. Demo units travel to launch events, a flagship mall and one airport, so people can watch a bar being made before any permanent counter exists.

What it costs and what it buys. An app, a fulfilment route and a campaign budget, all within a marketing leader's authority. It returns the answer to the central bet (do people design, pay, return and send it on?) and a city-level map of where demand actually is.

the bursts end; the app does not

Phase 1. Counters, placed on evidence (months 4 to 13)

Twelve Cadbury-owned counters across Mumbai, Delhi NCR and Bengaluru, in airports, metro hubs, premium high streets and malls, including one flagship, funded as experiential marketing so no capex decision is needed. Nine months covers a full festive season and the quiet period after it. Sites are chosen from Phase 0 order data, so each counter opens into demand that already exists, and to an audience that already has saved recipes.

Phase 2. Qualified partners (months 13 to 22)

Premium cafés and dessert chains, mithai and chocolate stores, hotels and banquets, wedding specialists and corporate gifting. **Placement is qualified, not open:** minimum footfall and spend, a premium partner brand, visible consumer interaction and the capability to host properly, with numbers capped per city. Scarcity protects the premium and keeps the network small enough for XYZ to service well.

Phase 3. Flexible production (months 22 to 34)

When a Canvas recipe proves popular enough, it launches as a limited edition on existing lines. XYZ modules then go onto a small flexible line inside a Cadbury plant, running the work the calendar generates: seasonal drops, capped editions, regional variants, festive runs and gifting at volume. Further machines are added only as Cadbury proves it can service and sell what it has. This reaches the brief's production-line goal as the answer to a problem Cadbury will already have, not a cold sale against working machinery.

The production track (from month 0)

While marketing runs Phase 0, XYZ opens a separate conversation with operations and R&D on changeover costs, short-run economics and pilot batches at Thane. Phase 0's small batches have to be made somewhere, which turns an abstract discussion into a live one with real orders behind it. Either door can open first.

Where Canvas goes: illustrative targets

Setting	Example venues	How it works
Online, nationwide	The Canvas app and Cadbury's own commerce	Live from month 0; designed anywhere, delivered to anyone
Airports	Bengaluru T2, Delhi T3, Mumbai T2	A bar created as a gift, labelled by relationship
Premium malls	Phoenix Palladium, DLF Emporio, UB City	Visible counter near the food zone; weekend and festive footfall
Five-star hotels	Taj, ITC, Oberoi	Signature bar at turndown; guest stations at banquets
Destination weddings	Planners in Udaipur, Jaipur, Goa	Each guest creates a favour using the couple's recipe
Premium mithai and dessert stores	Modern premium sweet shops	Festive boxes combining Canvas bars with the store's sweets
Corporate gifting	Premium gifting operators	Company orders; each recipient designs via link
Premium high streets and food spots	MG Road and Indiranagar type streets, ice cream parlours, café chains	A bar made to order after a meal; the highest repeat in the network

Setting	Example venues	How it works
Aircraft and cruise	Premium cabins, cruise lines	A bar made to order where fresh preparation is impossible

Evidence, Indian demand: Manam Chocolate's 10,000 sq ft Hyderabad factory and café, where visitors watch chocolate being made, has been named among TIME's World's Greatest Places. Subko's Cacao Mill in Mumbai runs make-your-own sessions. Demand exists; nobody has done it at brand scale.

6

Getting buy-in inside Cadbury

Marketing leads, because a marketing leader can approve a campaign and an app without a capital decision, and results then persuade everyone else. Phase 0 asks for a campaign budget, not twelve machines, so the first yes is the smallest in the sequence. Mondelez's chocolates marketing is led by Ankit Desai, who joined in April 2026 after nearly seven years at Hershey and leads marketing and P&L for Dairy Milk, Silk and Bournville. Mondelez India's FY25 advertising and promotional spend was ₹1,520.81 crore, which shows how modest the Phase 0 ask is.

Who to target and how to reach them

*decide
(inner ring)*



Four decision makers, with marketing as champion. Quality, finance and sales are consulted.

every meeting ends with an ask

Stakeholder	What they care about	Message	How to reach them	The ask
Marketing head (champion)	Premium growth, engagement	A premium territory that feeds Dairy Milk, opening at campaign cost	Executive tasting session	Fund the Phase 0 campaign and app
R&D / Thane centre	Taste consistency, formulation control	Cadbury defines every recipe; faster pilot batches	Technical review at Thane	Validate formulation and food safety; make the first batches

Stakeholder	What they care about	Message	How to reach them	The ask
Operations / plant head	Reliability, changeover cost	Short runs without stopping a mass line	Changeover economics	The cost of a short run, and one plant contact
Managing Director	Growth, competitive position	A first-mover position competitors cannot quickly copy	Business case via marketing, then Phase 0 results	Name it a strategic priority

Quality, finance and sales are consulted rather than targeted: quality signs off food safety within R&D's validation, finance agrees with marketing how Phase 0 will be judged before it starts, and sales joins when Phase 2 needs key accounts.

If national leadership is not ready, the same launch runs as a regional festive activation approved by a regional marketing team. Because Phase 0 is online, a regional pilot is a matter of geo-targeting a campaign, not finding a site, and a regional head presenting their own result upward is more persuasive than any vendor pitch.

Discovering their goals

Start with what is public: Mondelez's investor materials name premium price points as a trade-up opportunity, and launches like Studio Creations show where the portfolio is heading. Then hold one-to-one conversations before any pitch. Ask marketing which premium launch underperformed, R&D how long a flavour takes to reach a pilot batch, operations what a changeover costs, and the Managing Director which competitive threat worries them most. Ask everyone what would make them say no. Finally, check stated goals against behaviour (where budget has moved, what each person is measured on) and plan around the behaviour.

Resonance points and disconnects

They will resonate with: brand and emotion, gifting and occasions, limited editions, consumer insight, and premium growth that leaves Dairy Milk untouched.

They will disconnect on: throughput, reliability, food safety, taste consistency, capital cost, and anything that disturbs a system that already works.

What governs their behaviour: Cadbury is custodian of one of India's most trusted brands, and its teams are rewarded for protecting volume, margin and quality. Caution is rational, not obstinate, so the plan never asks them to carry the risk. The first phase is small, online, reversible, and costs a fraction of a machine order.

Product experience marketing: excitement and scepticism

Leadership does not hear the machine described; they use it. The first meeting is a session where each executive creates their own bar, and the argument makes itself in ninety seconds.

Likely excitement: a new premium story, consumer data, social and PR value, something no competitor has.

Likely scepticism, and the response:

- ◆ *"It's a gimmick."* Phase 0 measures repeat purchase and gift-link conversion, not trial.
- ◆ *"We already did this with Madbury."* Madbury was a contest that made two bars. This makes everyone's, as a gift, and it does not close when the window does.
- ◆ *"It will cheapen the brand."* Separate sub-brand, capped placements, premium pricing, and controls that open only as quality is proven.
- ◆ *"It won't be consistent."* Cadbury-approved recipes only, and Phase 0 launches with the narrowest choice of any stage.
- ◆ *"Too unconventional for us."* It runs beside the business, not inside it, and Cadbury has already personalized wrappers and gifting. This is the next step, not a departure.



Protecting the brand

The real risk is simple: the machine fails to deliver what it promises, and a disappointing bar carries the Cadbury name. Control is therefore not one setting switched on at launch. It is a ladder: each rung comes down only after the one before has been cleared on evidence, and Cadbury can turn the dial back at any time.

The control ladder

Stage	What opens	What stays locked	What must be proved first
Stage 1: Phase 0 launch	Curated Cadbury recipes, plus the name, message and box	Every component choice	That the bar tastes right, survives delivery and arrives on the day
Stage 2: once quality holds	One swap within a curated recipe, such as a texture or sweetness	Combinations outside the tasted set	Consistency across batches, and that consumers use the swap
Stage 3: at the counters	The full approved set across all five layers, and "surprise me"	Any path Cadbury has not signed off; allergen conflicts	Counter quality data, complaint rate, requested components
Stage 4: partner network	Seasonal, regional and partner-specific curated menus	Partner-created recipes	Audited partner performance and a stable complaint rate

At no stage can anyone outside Cadbury put a combination into a bar that Cadbury has not tasted and approved. What changes is how much of Cadbury's own range the consumer can reach.

Protections that never change: Dairy Milk's recipe and packaging are untouched; Canvas is a separate sub-brand, as Silk and Studio Creations are; Phase 0 risks a campaign budget, not a production decision; Phase 1 runs on Cadbury-owned machines, so early problems stay private; placements are few, audited and removable; and machines use sealed cartridges, automatic cleaning and remote monitoring, following Freestyle's self-reporting model.

Barriers, bucketed

Type	Barrier	Response
Technical	Taste consistency, cycle time, shelf life, cleaning	Approved recipe graph, sealed cartridges, auto-clean, validation at Thane before anything is sold
Operational	Refill, servicing, staffing, small-batch fulfilment	Remote telemetry, capped network, XYZ service contract; Phase 0 batches at Thane or a contract facility

Type	Barrier	Response
Brand	Dilution, a quality failure at a partner site	Sub-brand, scarcity, audits, the staged control ladder
Financial	Capital cost, uncertain payback	Campaign-funded start with no machine order; no partner capex
Organisational	Legacy caution, multiple sign-offs, "not invented here"	Marketing-led entry at campaign cost; evidence before escalation; regional fallback
Regulatory	Licensing, allergens, measurement, e-commerce food sale	FSSAI licensing matched to each stage, allergen labelling, Legal Metrology calibration
Market	Novelty fatigue, weak repeat	Saved recipes, a full-year occasion calendar, limited drops

Regulatory position, stage by stage

FSSAI's 2026 amendments, effective 1 April 2026, set basic registration up to ₹1.5 crore turnover, a state licence up to ₹50 crore and a central licence above that, with perpetual validity subject to risk-based inspection. Licensing then follows the phases. In Phase 0, bars are made at Thane or a licensed contract facility and sold as an e-commerce food business, the lightest position in the plan. In Phase 1, vending-machine licences are taken per counter in three cities. In Phase 2, partner sites carry their own obligations; five-star hotels need a central licence regardless of turnover. Allergen labelling and Legal Metrology calibration apply throughout, and both are simpler while the recipe set is narrow.



The business model

XYZ to Cadbury: XYZ's business

- ◆ Machine sale (capital revenue)
- ◆ Exclusive cartridge and consumables supply (recurring, the real margin)
- ◆ Annual service and maintenance contract (recurring)
- ◆ Insights platform subscription: the taste analytics layer, priced separately from hardware

Consumables are locked to XYZ supply on food-safety and quality grounds, so supply and servicing are presented as the model rather than a liability: **XYZ stays physically present at every machine, and that presence is the business.** Freestyle and Nespresso show the same razor-and-blades structure.

Cadbury to market

- ◆ **Online, from month 0:** the app and Cadbury's own commerce. The first revenue line, and the one that needs no machine in the field.
- ◆ **Owned counters:** permanent, marketing-funded, sited from online demand data.
- ◆ **Qualified partners:** machine-as-a-service, no partner capex, Cadbury owning uptime.
- ◆ **Outright sale** where servicing is impractical: aircraft, cruise, remote flagship sites.

Exclusivity, and why Cadbury keeps needing XYZ

XYZ would offer Cadbury a time-limited exclusivity window in chocolate in exchange for minimum volume commitments. It covers branded chocolate manufacturers only; cafés, bakeries and hotels can still buy unbranded machines from XYZ, and that boundary should be written into the agreement. When the window closes, Cadbury holds a head start in taste data, locations and partners. A competitor can buy the same machine; it cannot buy three years of knowing what India wants to taste.

Once a winning recipe is known, Cadbury can make it on its own lines. That is the plan working, not a leak. Tastes shift every season, and many Lay's "Do Us a Flavor" winners were later discontinued. What Cadbury needs is the engine that keeps finding the next one, and mass lines cannot make one bar for one person. Recipes remain Cadbury's property; XYZ owns the machine, software and platform.

What this costs Cadbury: an illustrative shape

These are assumptions, not findings. At ₹349 for a signature bar against roughly ₹50 in ingredients and packaging, the margin per bar is wide enough that a counter does not need high volume to contribute, and a machine of around ₹20 lakh could pay back within a year at

reasonable volumes. Prime space is expensive (Delhi's Khan Market asks ₹1,700–1,800 per sq ft a month, airports more), so malls and small kiosks should carry most of the first set. The real mix will sit below ₹349, and fit-out, software, certification and staff are additional. Phase 1 is designed to test whether an 8–14 month payback is achievable.

It is a marketing investment as much as a unit-economics one. Twelve machines is about ₹2.4 crore against an FY25 marketing spend of ₹1,520.81 crore, and Phase 0 costs a fraction of that. A conventional campaign ends when the flight ends; this one returns revenue, machines, an operating model and a taste dataset no competitor in India has. Because Canvas is a product rather than a campaign, it needs running continuously (fulfilment, service and a calendar someone owns), and that cost should be budgeted from the start.



Bringing other manufacturers on board

The brief asks for a strategy that evangelizes Cadbury *and every such chocolate manufacturer*. Once Cadbury is running, that becomes a distribution problem rather than a persuasion problem.

Cadbury as the reference case. Once results are public, the pitch to Nestlé, Amul, Ferrero, Lindt and regional players is a proven programme with numbers, run by India's most trusted chocolate brand. The conversation shifts from "does this work?" to "who is next?", and each name added turns XYZ further from an equipment vendor into the category's flexible-production layer.

First-mover advantage for Cadbury. The first brand to offer consumer-created chocolate at scale in India owns the idea, builds the recipe data and secures the best locations. The exclusivity that protects this is set out in Section 8.

Beyond the big manufacturers

Branded manufacturers are the headline targets, but not the largest count of machines. These categories want exactly what the machine does, buy faster than a multinational, and sit outside any chocolate exclusivity:

Category	Why they want it	How XYZ reaches them
Customised and premium bakeries	Personalization is already their business; chocolate is a high-margin add-on	Direct sale or lease under the bakery's own brand
Sweet shops and mithai chains	Festive gifting is their peak; a made-to-order bar extends a festive box	Regional chains first, festive season as the entry point
Ice cream parlours and dessert bars	The highest repeat of any venue, and made-to-order is already the format	Machine-as-a-service, unbranded
Gifting companies	Volume personalization is their core, and chocolate their most-requested category	Direct sale on capability and turnaround
Hotels, café chains, cruise operators	Differentiation, and a solved stocking problem	Direct sale where servicing is practical
Other branded manufacturers	Competitive response once Cadbury's results are public	Cadbury as the reference case, after the exclusivity window

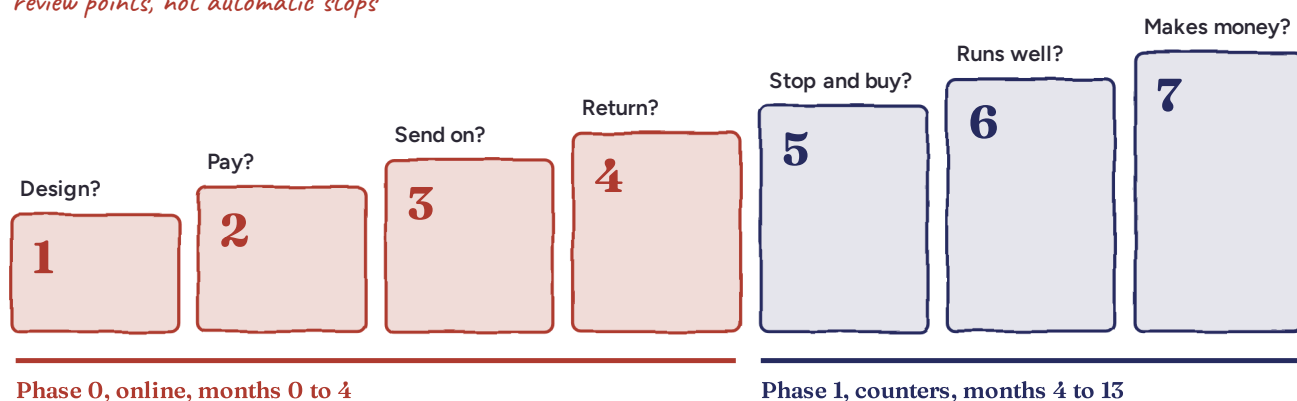
These placements build installed base and service density in the same cities as Canvas, which makes servicing Canvas cheaper, and none carries a Cadbury identity.

10

Measuring success

The early phases are judged in order, and a later measure cannot rescue an earlier failure. But each gate is a review point, not a switch that ends the programme. A weak result means something specific is wrong (the offer, the price, the occasion, the fulfilment), and because the plan opens online, a correction costs a campaign cycle rather than a capital write-off.

review points, not automatic stops



Phase 0 is judged on gates 1 to 4, Phase 1 on 5 to 7.

Gate	How it is measured	What a weak result means
1. Do people design?	Designs started and completed, per burst and per city	The creative or the occasion is wrong, not the product
2. Do they pay?	Design-to-order conversion; order value against the ₹399–449 gift tier	The central bet, tested in month two rather than month twelve
3. Do they send it on?	Gift links per order, and recipients who then design their own	The growth engine, and the cheapest number to move
4. Do they come back?	Repeat orders across two or more occasions; saved-recipe reorders	The calendar or the reminder is failing, not the bar
5. Do people stop and buy?	Counter conversion against the online demand that justified the site	The site, not the idea
6. Does it run reliably?	Uptime, refills, discarded bars, queue length	Operations to fix before scaling
7. Does it make money?	Contribution per counter and per online order	Read alongside the marketing value in Section 8

Marketing and word-of-mouth measures

Because the product is digital first, most of the softer return is instrumented by default:

- ◆ **Gift-link virality:** new designers produced by each order. The clearest measure of word of mouth, because it is a traceable action rather than an impression.
- ◆ **Organic sharing and earned reach:** designs shared from the app, keepsake-box posts, media pieces and share of voice per occasion burst.
- ◆ **Brand measures:** unaided recall of Canvas in target cities, before and after each major burst.
- ◆ **Cost per acquired designer:** campaign spend over first-time designers, split paid and organic.
- ◆ **Taste-engine output:** distinct recipes created, and whether one is strong enough to launch as a limited edition.
- ◆ **Inbound partner enquiries:** the clearest signal that Phase 2 will sell itself.

What success unlocks. A successful Phase 0 earns the machine order, Phase 1 the partner rollout, and Phase 2 the flexible production line. Nothing is asked for before the previous step has paid for the right to ask.

Assumptions and open questions

Researched facts are kept separate from judgments. The judgments below would be tested before scaling.

The central bet: that Indian consumers will pay a meaningful premium to create their own chocolate. Madbury proves Indians want to create their own Dairy Milk; it does not prove they will pay a premium to do it. The reasoning for why they may rests on occasion rather than chocolate (Section 2): a bar designed for a named person on a date that matters competes with the gift that would otherwise have been bought. That is still an argument, and Phase 0 tests it at gate 2 in month two, before any machine is ordered.

Other assumptions:

- ◆ That XYZ's machine can deliver the proposed recipe-graph architecture with consistent quality and a cycle time near two minutes. The five-layer architecture is a proposal, not a stated XYZ capability.
- ◆ That small-batch Phase 0 fulfilment is practical at Thane, a contract facility or a demo unit, at a cost that supports a ₹399–449 price
- ◆ Machine cost, throughput, servicing needs and component count
- ◆ Pricing for each tier, and the right price ladder for India
- ◆ That online demand data predicts counter footfall well enough to site twelve machines on it
- ◆ That the consumer layer generates enough pull to make partner sales straightforward
- ◆ That bar-before-dessert is the right sequence

Where published data varies: India chocolate market estimates differ by source, and Mondelez's share of Indian chocolate is reported between roughly 55% and 65%. Market-size and rent figures are third-party estimates, and unit economics here are illustrative.

Needed from XYZ engineering: actual machine cost, cycle time, footprint, power and cleaning requirements, cartridge shelf life, and the true range of adjustable parameters.

Sources

Coca-Cola company materials on Freestyle scale, data and product development; trade coverage of Freestyle deployment; Nestlé materials and press coverage of KitKat Chocolatory, including store closures; Hershey's Chocolate World listings and visitor reviews; Harvard Digital Initiative and trade coverage of Lay's "Do Us a Flavor"; Ogilvy and trade coverage of Share a Coke; Adweek and trade coverage of Nutella Unica; trade coverage of Cadbury Glow; TechSci Research on India's premium chocolate market; Mondelez investor materials and Indian financial disclosures; press coverage of Ankit Desai's appointment; Mondelez materials on the Thane Technical Centre; FSSAI Licensing and Registration Amendment Regulations 2026; Cushman & Wakefield high-street rent reports for Delhi-NCR; Indian press coverage of Manam Chocolate and Subko's Cacao Mill; Indian marketing press coverage of Cadbury's Madbury campaigns; Mondelez and trade coverage of OREOiD; trade and press coverage of Keurig Kold and Juicero; Indian online retail listings for Dairy Milk and Silk prices.



Where each question is answered

The brief asks	Section
Marketing strategy to evangelize Cadbury and every such manufacturer	Executive summary; 5; 9
Transformations this brings to Dairy Milk	2
How customer and consumer behaviour changes; the buying experience	2; 3
How to showcase and convince a legacy market leader	1; 5; 6
Concept, narrative and approach to market	1; 3
The buyer's journey, and who the buyer is	4
Why this won't be a branding fiasco	7
B2B or B2C, and how to approach both	4
Case studies and their relevance	1, with further evidence in 3, 5 and 8
Step-by-step strategy for a legacy leader	5
Resonance points, disconnects, what governs behaviour	6
Product experience marketing: excitement and scepticism	6
Who inside the organisation to target, and how the message reaches them	6
Their goals, how to discover them, how to know the strategy works	6; 10
Barriers, bucketed and classified	7
Online ordering, gifting and occasion offers	Executive summary; 3; 5; 10

In one line

Cadbury isn't asked to change anything that works. The plan launches online at campaign cost, proves that Indians will create and pay for personalised products, and only then places automated machines where demand is already visible. Festive, seasonal and personal moments become memorable experiences and repeatable drops, giving Cadbury a low-friction, adaptable engine that turns every purchase into shareable content.